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A REPORT

TO THE

NATIONAL SECURITY COUNCIL

by

THE EXECUTIVE SECRETARY

on

SUPPLEMENTARY MEASURES WITH RESPECT TO FORMOSA

March 1, 1949

~~WASHINGTON~~

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Auth: EO 11652
Date: 23 NOV 1975
By: Jeanne W. Davis
NATIONAL SECURITY COUNCIL

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NSC 37/5

March 1, 1949

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NOTE BY THE EXECUTIVE SECRETARY

on

SUPPLEMENTARY MEASURES WITH RESPECT TO FORMOSA

References: A. NSC 37 Series
B. NSC 11/2 and 11/3

The enclosed report by the Executive Secretary on the subject, prepared with the advice and assistance of representatives of the Departments of State, the Army, the Navy, and the Air Force, and of the National Security Resources Board and the Central Intelligence Agency, is submitted herewith for consideration by the National Security Council as Item 2 on the Agenda for its next meeting on Thursday, March 3, 1949.

It is recommended that, if the Council adopts the enclosed report, it be forwarded to the President with the recommendation that he approve the conclusions contained therein and direct their implementation by all appropriate executive departments and agencies of the U. S. Government under the coordination of the Secretary of State.

SIDNEY W. SOUERS
Executive Secretary

Distribution:
The President
The Secretary of State
The Secretary of the Treasury
The Secretary of Defense
The Secretary of Commerce
The Secretary of the Army
The Secretary of the Navy
The Secretary of the Air Force
The Chairman, National Security Resources Board
The Economic Cooperation Administrator

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D R A F T

REPORT BY THE NATIONAL SECURITY COUNCIL

on

SUPPLEMENTARY MEASURES WITH RESPECT TO FORMOSA

ANALYSIS

1. At its 33rd Meeting the National Security Council directed that a report supplementary to NSC 37/2 be prepared on the basis of: (a) the discussion at the meeting; (b) the JCS estimate of the threat to U. S. security, in the event diplomatic and economic steps to deny communist domination of Formosa prove insufficient, and the military measures, if any, which should be taken in that event (NSC 37/3); and (c) a Department of State statement of the specific and immediate steps which the United States should take with respect to Formosa (NSC 37/4).

2. The Joint Chiefs of Staff are of the opinion that any overt military commitment in Formosa would be unwise at this time. In spite of Formosa's strategic importance, the current disparity between our military strength and our many global obligations makes it inadvisable to undertake the employment of armed force in Formosa, for this might, particularly if diplomatic and economic steps had already failed, lead to the necessity for relatively major effort there, thus making it impossible then to meet more important emergencies elsewhere.

3. The Joint Chiefs of Staff believe that Formosa's strategic importance is, nevertheless, great. Consequently, they are of the opinion that: (a) some form of military support should be made

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available now for assistance in vigorous prosecution of the approved diplomatic and economic steps set forth in NSC 37/2 for developing and supporting in Formosa a non-communist Chinese regime. (b) This support should not involve commitment to the employment of force, but should consist of the stationing of minor numbers of fleet units at a suitable Formosan port or ports, with such shore activity associated therewith as may be necessary for maintenance and air communication and for the recreation of personnel.

4 It has been the consistent position of the Department of State, as set forth in the NSC 34 Series, in NSC 11/2 and NSC 37/1, that the establishment of U. S. military forces on Formosa in the present situation would be not only diplomatically disadvantageous but also, and far more importantly, a heavy political liability for us. A show of military strength would be of dubious efficacy in preventing communist agitation and infiltration or conspiratorial negotiations between communist emissaries and Nationalist commanders on Formosa. A show of military strength would have serious political repercussions throughout China; it might create an irredentist issue just at the time we may wish to exploit Soviet action in Manchuria and Sinkiang.

CONCLUSIONS

5. The Department of State should strengthen and increase its representation on Formosa, and to that end should immediately detail a high-ranking officer to Taipei.

6. Upon the arrival of this high-ranking officer at Taipei, he should approach the Governor of Formosa, along the lines set forth in paragraphs 1 and 2 of NSC 37/2 of February 3, 1949.

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7. Following these representations to the Governor of Formosa and the receipt of assurances from the latter that the governing authorities on Formosa are prepared to implement such assurances, the ranking Department of State officer should inform the Governor that the United States Government is prepared, under legislation approved by the Congress and by such other means as may be feasible, to give economic support for the economy of Formosa, designed to assist in developing and maintaining a viable, self-supporting economy on the island.

8. Upon receipt of appropriate assurances outlined in paragraph 7 above, the Economic Cooperation Administration Mission to China should proceed with arrangements for completing the pre-project engineering surveys of the industrial projects on Formosa which will contribute to the above-mentioned objectives and the Economic Cooperation Administration should undertake procurement for such of these projects as are approved after completion of the surveys.

9. The Economic Cooperation Administration should also make a study of and submit recommendations to the Secretary of State for an over-all program of economic assistance to Formosa.

10. In the initial stages every care should be exercised to minimize the appearance of United States official activities on Formosa and every effort should be made to discourage the further influx of refugees from the mainland.

11. Units of the U. S. fleet should not now be stationed at or off Formosan ports in support of the political and economic measures

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envisaged above. This conclusion is without prejudice to a re-examination of this possible course of action should developments on Formosa so justify.

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